GUJARAT FLUOROCHEMICALS LIMITED

SUSTAINABLE PROCUREMENT POLICY AND CODE OF CONDUCT FOR SUPPIER/VENDORS AND SERVICE PROVIDERS

1. BACKGROUND

For Gujarat Fluorochemicals Limited sustainability is a key element of its business strategy and commits itself to ethical and sustainable and socially responsible operations and development activities. The company takes ownership of the environment, employees, customers, shareholders, stakeholders, and society in order to achieve a sustainable, socially responsible and profitable long-term business growth.

Procurement is a powerful instrument for organizations wishing to behave in a responsible way and contribute to sustainable development and to the achievement of the United Nations Sustainable Development Goals. By integrating sustainability in procurement policies and practices, including supply chains, GFL endeavors to manage risks (including opportunities) for sustainable environmental, social and economic development.

This Sustainable Procurement Policy and Code of Conduct for the Suppliers, Vendors and Third Parties, which applies to all purchases of goods and services, sets out how we will conduct business with our Suppliers, Vendors and Service Providers and describes the expectations we have of our Suppliers, Vendors and Service Providers regarding the way they conduct their business. Our aim is to ensure that the way business is conducted throughout the whole of our supply chain conforms to our own standards and is legally compliant. It outlines our expectations with regard to ethics, business integrity, human rights, health and safety, environment, the local community and quality of product and operations.

We expect all our Suppliers, Vendors and Service Providers to support, the principles set out within the UN Universal Declaration of Human Rights, the International Labour Organization Declaration on Fundamental Principles and Rights at Work, the UN Global Compact and the UN Guiding Principles on Business and Human Rights.

GFL's Commitment to align and adopt ISO 20400 for implementing Sustainable Procurement Management Systems across the Company Supply Chain

GFL intends to integrate sustainable development into our procurement strategy, our day-to-day operations and relationships with Suppliers, Vendors and Service Providers. All our group companies are required to identify, prevent and manage risks pertaining to Health and Safety, Social Responsibility and Environment in their supply chain.

GFL shall adopt and accept the systems and procedure as given in ISO 20400 and intends to implement the same in establishing Sustainable Procurement across its supply chain as it enables the Company to integrate sustainability into procurement in a systematic way. This will help the Company and all its Suppliers, Vendors and Service Providers to:

a. Meet the demands of customers and other stakeholders to assume responsibility for its supply chain
b. Identify legal, financial and moral risks associated with sustainability in the supply chain
c. Monitor and improve the sustainability performance of suppliers
d. Build supplier relationships that create long-term, sustainable value

We recognize that improving our procurement performance is an ongoing process and that our Suppliers, Vendors and Service Providers, both large and small, are important partners in our journey to become more sustainable. We expect our third parties/ Suppliers, Vendors and Service Providers and vendors and their contractors to abide by this policy and code and help us reduce environmental and social impacts by establishing and operating state of the art standards for sustainable supply chain.

A non-respect to this code may lead to discontinuation of business relationship. Adherence to this policy throughout the entire supply chain is of great significance to GFL.

2. SCOPE & APPLICABILITY

This policy applies to all employees associated with the Company (globally) and all affiliates and subsidiaries of the Company at all levels and grades, including directors, senior executives, officers, employees (whether permanent, fixed-term or temporary), consultants, contractors, trainees, seconded staff, casual workers, volunteers, interns, agents, or any other person associated with associated with Gujarat Fluorochemicals Limited, GFL Americas LLC., GFL GmbH, GFL GM Morocco and are engaged in the process of sustainable procurement on behalf of the company.

The policy is applicable to all individual or organization, who/which come into contact with the Company or transact with the Company and also includes actual and potential clients, Suppliers, Vendors and Service Providers, business contacts, consultants, intermediaries, representatives, subcontractors, agents, advisers, joint ventures and government & public bodies (including their advisers, representatives and officials, politicians and political parties).

3. OBJECTIVES

The GFL Sustainable Procurement & Code of Conduct for Suppliers, Vendors and Service Providers, defines company's principles and our expectations from our Suppliers, Vendors and Service Providers and their employees. By agreeing to the policy, the Suppliers, Vendors and Service Providers commit to acting responsibly and to abiding by the objectives set out as follows:

a. comply with all relevant legislation and regulatory requirements
b. promote sustainable awareness and assessment amongst Suppliers, Vendors and Service Providers and contractors
c. procure sustainable products and services
d. Reduce the environmental sustainability impacts of construction and refurbishment projects.
e. Include Environmental, economic and social aspects when specifying specific good or services.
f. include sustainable criteria when evaluating offers from potential Suppliers, Vendors and Service Providers
g. Promote awareness of sustainable issues and considerations within the user community.
h. Develop measures of our sustainable practice using sector standards.
i. Use the measures developed to monitor our sustainable practice with a view to seek continual improvement.
j. Use the results of the monitored practice to benchmark our performance against similar organizations.

Sustainable Procurement Objectives

Parameters	Annual Target
Raise supplier awareness on the Company's Sustainable Procurement Code of Conduct	100 %

No supplier violation on local environment/social laws	Nil
Coverage of top 50 Suppliers to Sustainability and Social Responsibility Audit	100%
Public legal cases regarding competition law brought against the organization or its employees during the reporting period and the outcomes of such cases	Zero

4. ORGANIZATIONAL COMMITMENT

The culture of integrity and compliance in GFL starts at the top. The Company has committed to the principles of "We source responsibly" and works hard to choose reputable business partners/Suppliers, Vendors and Service Providers who are committed to ethical standards and business practices compatible with GFL.

We expect our Suppliers, Vendors and Service Providers to fully comply with applicable laws and to adhere to internationally recognized environmental, social and corporate governance standards. We also expect our Suppliers, Vendors and Service Providers to use their best efforts to implement these standards with their Suppliers, Vendors and Service Providers and subcontractors. Inspired by the United Nations Global Compact initiative, the United Nations Guiding Principles and Human Rights, the International Labour Organization's Declaration on Fundamental Principles and Rights at Work, ISO20400:2017 standard and the chemical industry's Responsible Care program, our policy represents our understanding of the environmental, social and corporate governance standards in reference to the standards mentioned above.

The Company is committed to sustaining the highest legal, environmental, ethical & professional standards consistent with the UNGC Ten principles in the areas of human rights, labor, environment & anti-corruption. The Company shall strongly encourage Suppliers, Vendors and Service Providers to exceed the requirements of this policy and promote best practices and continuous improvement throughout their operations.

5. CONTEXT OF THE ORGANIZATION:

Understanding the Company and its context

Gujarat Fluorochemicals Limited (GFL), a part of the Inox Group, is the largest manufacturer of chloromethanes, hydro-chloro-fluorocarbons (HCFC) and various grades of PTFE in India. The company operates through 6 different global locations – Noida (Corporate Office), Dahej (Gujarat), Ranjitnagar (Gujarat), & Vadodara (Gujarat), Europe, Morocco & United States. Further, its forward and backward integrated operations make it one of the most cost competitive producers of these chemicals globally. The company has successfully created a niche for itself in the chemicals business and is set to explore markets for more value added products while continuing to gain from its other diversified businesses. We are among the few fully vertically integrated manufacturing company providing reliable and high-quality products.

Our Sustainability goals are interwoven with the way we do business all along our value chain. The company is signatory to the United Nations Global Compact (UNGC), Science Based Targets Initiative (SBTi), and is a member of the Indian Chemical Council (ICC). Our focus on Health, Safety and Environment is reflected in the wellbeing and safety of our people. All-inclusive efforts towards sustainability at various facets make us long-term partners for our customers across geographies.

The purpose and strategic direction of the company shall be to create a sustainable future. The Company is continuously driving sustainability and is committed to treating all workers with respect and dignity, ensuring safe working conditions,

and conducting environmentally responsible, ethical operations. We expect Suppliers, Vendors and Service Providers in our operations and supply chain, to embrace social, environmental, and ethical responsibilities like we do.

6. LEADERSHIP

a) Top Management

The Management shall attend various meetings and provides evidence of its commitment to the development and implementation of Sustainable Procurement system for continuous improvement of company effectiveness. The Management shall demonstrate the commitment and leadership as follows:

a) Taking accountability of the effectiveness of the sustainable procurement process and review company objectives and functional objectives.
b) The Policy and objectives shall be established, kept as documented information and provided for ready reference to the employees. They shall be compatible with the strategic direction and the context of the Company;
c) The Company shall plan and implement the monitoring, measurement, analysis and improvement processes needed to evaluate the effectiveness and efficiency of the procurement process. Promoting awareness of the process approach and risk-based thinking;
d) Ensuring that the resources needed for procurement process shall be available and discussed in formal/informal meetings;
e) Appraisal and remuneration procedures shall be used to support and encourage the performance of employees if they inform/report any unlawful act/activity covered under this policy;
f) Communicating the importance of effective System management and conforming to process requirements during management review meetings;
g) Ensuring that the sustainable procurement process achieves its intended results and verifying the same with the help of internal audits and objective reviews;
h) Engaging, directing and supporting persons to contribute to the effectiveness of the procurement process;
i) By encouraging the use of reporting procedures for suspected and actual bribery/unlawful act in the procurement process.
j) By ensuring that no personnel shall suffer retaliation, discrimination or disciplinary action for reports made in good faith, or on the basis of a reasonable belief of violation or suspected violation of the Company's sustainable procurement policy, or for refusing to engage in any unlawful act, even if such refusal can result in the Company losing business
k) Once in a six month/annually management review shall be conducted for review of the activities and shall be attended by Top Management.
l) All illegal/unlawful cases, whether pending or closed, shall be made public within and outside the organization through appropriate channels such as media communication, sustainability reports, annual report.

b. Organizational roles, responsibilities and authorities

The Top management shall assign members of 'Sustainable Procurement Committee' to whom the authority and responsibility shall be given. The Company's Sustainable Procurement Committee of the respective business comprising of the following incumbents:

1. Chief Executive Officer of the Business
2. Chief Finance Officer of the Business
3. Unit Head or Site Head/Functional Head as the case may be
4. Group Chief Commercial Officer

5. Members of the Supply Chain Team who are involved in Purchase

The Chief Commercial Officer and any three members of the above list shall form a quorum for Committee meetings. The Sustainable Procurement Committee shall be held responsible for:

a) Implementation of the sustainable procurement and code of conduct procedure by the Company
b) Ensuring that the procurement process & code of conduct conforms to the requirements as applicable by the law and standards;
c) Providing advice and guidance to personnel on the sustainable procurement process and issues relating to it;
d) Reporting to Top management on the performance of the sustainable procurement process and on opportunities for improvement and on the need for change or innovation;
e) Ensure integrity of the procurement system is maintained, when changes to the management system are planned and implemented.
f) Provide confidential and secured platform (whistleblower procedure) to employees for reporting unlawful concerns without any fear of personal repercussions.

The Sustainable Procurement Committee shall have a direct and prompt access to the top management for any issue or concern that needs to be raised in relation to the process. The Management shall also define a set of responsibilities, authorities for all employees and shall be communicated within the Company. All employees within their respective department shall inform their Head of Department/Functional Head for any such conditions, which are adverse to the procurement process or adverse to the satisfactory operation of the system. The top management and all other personnel shall be responsible for understanding, complying with and applying the management system requirements, as they shall relate to their role in the Company.

7. PLANNING

The organization shall take steps to implement its procurement system, by doing the following:

a) **Detailed procedures:** develop detailed procedures that support our sustainable procurement commitment and cover all forms of unlawful acts like: bribes, gifts, entertainment and expenses, facilitation payments and conflicts of interest, confidentiality, inequality etc.
b) **Responsibility:** The Functional Heads to devise, implement, monitor and improve the programme under the oversight of top management;
c) **Business partners:** communicate our sustainable procurement commitment to our business partners and obtain standards of them;
d) **Awareness and education of employees:** provide communication and training to ensure that our employees understand the organization's policies and procedures as well as the leadership's commitment to sustainable procurement and zero tolerance of any unlawful act;
e) **Consequences:** ensure that appropriate measures shall be taken in the event that the policy is violated;
f) **Monitoring and continuous improvement:** carry out regular reviews of this policy including internal audits, provide resulting reports to top management and the Board and take necessary actions to improve the system.

8. OPERATIONS:

Through supplier selection and direct engagement, the company shall favor Suppliers, Vendors and Service Providers who are ethically driven. The Company shall conduct its business activities in a fair and transparent manner with honesty, integrity, high ethical & moral standards and respect for human rights. The company shall strongly believe that high ethical standards are essential for sound business relationships. The Company shall expect the Suppliers, Vendors and Service Providers to share this commitment while conducting their business. The Suppliers, Vendors and Service

Providers shall agree to comply with all applicable national laws and other regulations in the context of its business operations at any time.

9. BUSINESS INTEGRITY AND ETHICS:

a. Conflict of Interest:

The Suppliers, Vendors and Service Providers are expected to report any conflict of interest in any business dealings with GFL that supplier is aware of to allow us the opportunity to take appropriate action. It should be disclosed if any GFL employee or professional under contract with GFL may have significant ownership or interest in a supplier's business.

b. Bribery, Corruption, gifts and Donations:

It shall not be acceptable for any Suppliers, Vendors and Service Providers associated with the Company (or someone on his / her behalf) to:

i. Offer/receive cash or cash equivalents in connection with Company business which would amount to a violation of this Policy.
ii. Offer/receive gifts related to entertainment, meals, travel lodging, and employment etc. is not allowed. Personal expenses incurred by a Company employee such as fitness center charges, spa fees, or side trips shall not be paid for or reimbursed by the Suppliers, Vendors and Service Providers, Vendors and Service Providers.
iii. Improperly influence the Business decisions by personal interests or relationships, including personal or non-company business relationships with company employees. Any concerns a Suppliers, Vendors and Service Providers, Vendors and Service Providers has regarding a potential conflict of interest please shall be reported to the Sustainable Procurement Committee.
iv. Refuse to agree to anti-corruption contractual terms, uses a shell company or other unorthodox corporate structure, insists on unusual or suspicious contracting procedures, refuses to divulge the identity of its owners, or requests that its agreement be backdated or altered in some way to falsify information.
v. Have a poor reputation or has faced allegations of bribes, fraud or other wrongdoing or has poor or non-existent third-party references;
vi. Not have an office, staff or qualifications adequate to perform the required services;
vii. Make an expense/payment request by the Suppliers, Vendors and Service Providers, Vendors and Service Providers which is unusual, is not supported by adequate documentation, is unusually large or disproportionate to products to be acquired, does not match the terms of a governing agreement, involves the use of cash or an off-the-books account, is in a jurisdiction outside the country in which services are provided or to be provided, or is in a form not in accordance with local laws.

All Suppliers, Vendors and Service Providers must ensure that no action is taken to violate any applicable anti-bribery or anti-corruption laws and regulations in the locations of their operations and make every effort to eliminate all forms of corruption and bribery. The prevention, detection and reporting of bribery and other forms of corruption shall be the responsibility of all those working for the Company or under company's control.

c. Confidentiality:

The Suppliers, Vendors and Service Providers, shall safeguard and respect GFL's intellectual property; trade secrets and other confidential, proprietary and sensitive information or data at all times and shall not disclose the same. The Company shall assemble information concerning intellectual property rights generated from all Group companies, including overseas companies, as the company strives to fully understand and utilize intellectual property rights

management as a Group. When developing new products and technology, the Company shall confirm from a global standpoint that we are not infringing on the intellectual property rights of others. In the legal licensing of intellectual property rights from other companies, the Company shall observe the scope of use specified in the contract when using those property rights.

The information provided by GFL should be used only for its intended and designated purpose as decided and agreed upon between GFL and the supplier. The falsification of records and misrepresentation of conditions and practices in the supply chain are not acceptable.

d. Anti –Trust, Anti-competitive and restrictive trade practices:

The Company is committed to engage in a fair and vigorous competition, in compliance with all antitrust and competition laws and regulations globally. The Suppliers, Vendors and Service Providers must comply with applicable local and international laws to promote free and fair competition and to get business by offering competitive prices and innovative products. Because antitrust and competition laws vary across countries and are complex, Company employees must consult their business unit's assigned legal counsel whenever their business activities are regulated by these laws.

Failure to comply with the anti-competition laws could lead to civil penalties for the Company and the individual involved, significant business disruption and harm to company's business reputation. Violation of this shall result in disciplinary action, including termination from employment.

e. Conflict minerals:

GFL is committed to conducting its worldwide business operations in a manner that complies with applicable laws and regulations regarding conflict minerals. Suppliers, Vendors and Service Providers are expected not to source conflict minerals (columbite-tantalite (coltan), cassiterite, gold, wolframite, or their derivatives: Tantalum, tin, tungsten and gold) mined from Democratic Republic of Congo (DRC) and nine adjoining countries: Republic of Congo, Central Africa Republic, South Sudan, Zambia, Angola, Tanzania, Burundi, Rwanda and Uganda linked to violations of human rights through the funding of illegal armed groups. We require that our suppliers ensure the pro duct s and materials supplied to our Company which are associated with conflict minerals are sourced in accordance with our policy as given above.

The Company shall incorporate into the purchasing procedures and documents conditions requiring suppliers to adopt a policy on the responsible sourcing of conflict minerals and to periodically provide to us information we need to support our obligations and policy. All purchase orders shall include the statement - All items supplied against this purchase order that contain Tin, Tantalum, Tungsten or Gold must be sourced in accordance with the OECD guidelines on conflict free mineral supply chains.

f. Export / Import Legislation:

The Suppliers, Vendors and Service Providers, Vendors and Service Providers shall adhere to all the applicable legislation and regulations relating to export and import control.

10. HUMAN RIGHTS:

a. Forced and child labour:

The Suppliers, Vendors and Service Providers, Vendors and Service Providers shall prohibit use of child labour at any stage of their business process. We expect that our Suppliers, Vendors and Service Providers will not employ any

person below the age of 18 (or as per local law, whichever is greater). The Suppliers, Vendors and Service Providers must not use forced labour including prison or debt bondage labour, human trafficking or modern-day slavery.

b. Working hours and Incentives:

We expect Suppliers, Vendors and Service Providers to comply with applicable wage and hour laws, regulations and mandatory industry standards pertaining to minimum wages, overtime pay, working hours and rest periods.

c. Equality:

The Company's commitment is to become an "Employer of Choice" – therefore all our HR Policies and Procedures reflect non-discriminatory practices and provide equal opportunity for all our stakeholders. The Suppliers, Vendors and Service Providers must ensure there is no discrimination in their hiring and employment practices on the basis of race, colour, gender, age, nationality, religion, sexual orientation, marital status, citizenship, disability, veteran status, medical condition etc. As part of this commitment, all employees are expected to treat their colleagues fairly, with mutual respect and without harassment at all levels.

d. Humane Treatment:

The Suppliers, Vendors and Service Providers, Employees shall ensure that all the workers are not subjected to disproportionate stringency or treated in an inhumane manner. This includes sexual harassment, sexual abuse, physical reprimand and physical and mental abuse. It also applies to the threat of such treatment.

e. Freedom of Association

In line with the relevant national legislation, the supplier/Suppliers, Vendors and Service Providers, grants their employees the right to form and join associations and to safeguard their interests.

11. SOCIALLY FOCUSED:

We are committed towards supporting sustainable development and business practices. Sustainable practices now have grown to encompass social performance criteria as well. We believe that an organization should play a significant and beneficial role within the local community and society in general. We are contributing towards social and economic development of the communities in which we operate and expect our Suppliers, Vendors and Service Providers to take steps towards same.

12. RESPONSIBLE CONDUCT WITH STAKEHOLDERS:

a. Fair dealing with vendors/ Suppliers, Vendors and Service Providers/Suppliers, Vendors and Service Providers, Vendors and Service Providers:

We encourage our Suppliers, Vendors and Service Providers/Suppliers, Vendors and Service Providers to conduct all transactions with their business partners in fair and transparent manner including fair evaluation, reasonable selection, equal opportunities, fair and free competition for all.

b. Diversity in workforce:

We suggest that Suppliers, Vendors and Service Providers should take initiatives to have a diverse and inclusive workforce in terms of age, gender, experience, ethnicity etc.

c. Engage and involve local communities:

We encourage our Suppliers, Vendors and Service Providers to address issues and concerns of the community impacted by operations of the supplier and minimize the impact.

13. HEALTH AND SAFETY:

We expect our Suppliers, Vendors and Service Providers to adopt robust and relevant management practices in order to comply with applicable health and safety laws, rules, regulations and industry standards. The Suppliers, Vendors and Service Providers are also encouraged to conduct training and awareness activities for employees on health and safety. We also suggest Suppliers, Vendors and Service Providers to take reasonable actions to prevent accident and injuries (providing Personal Protective Equipment) by analyzing and minimizing risk exposure. Potential emergency situations and events shall be identified and evaluated. Their impact shall be minimized by implementing emergency plans and reporting procedures.

All personnel engaged by the Supplier, Vendors and service providers shall be covered by the Gujarat Fluorochemicals Limited Cardinal Safety Rules and Penalty structure in case of any violation of any Safety, Health and Environment law or company procedure and guideline.

14. COMPLIANCE TO LAWS OF THE LAND:

All the employees, Suppliers, Vendors and Service Providers shall have to comply with all the applicable laws of the Land. In case of any breach of any such laws on the part of any Suppliers, Vendors and Service Providers, the company has the right to terminate the contract forthwith without any prior notice or any applicable notice period. Moreover, if such breach exposes the Company to any Legal litigation or financial liability, the concerned Suppliers, Vendors and Service Providers shall indemnify the Company of any such liability.

All Suppliers, Vendors and Service Providers shall comply with all laws governing Safety, Health and Environment at their workplace, all laws covering the commercial and business activities like taxation, company statutory returns etc. So far as the labour is concerned, all Suppliers, Vendors and Service Providers shall follow the following laws of the land -

i. Industrial Employment Standing Order Act, 1946
ii. Payment of Wages Act, 1936
iii. Minimum Wages Act, 1948
iv. Payment of Bonus Act, 1965
v. Factories Act, 1948
vi. Contract Labor (Regulation & Abolition) Act, 1970
vii. Interstate migrant workmen (regulation and employment and conditions of service) Act, 1979, if the contractor has engaged migrant labor
viii. Private security agencies (regulation) Act, 2005 for Contractor engaged for security services in the Company premises
ix. Maternity Benefits Act, 1961
x. Equal Remuneration Act, 1976
xi. Bonded Labor system (Abolition) Act, 1976
xii. Child Labor (Prohibition & regulation) Act, 1986
xiii. Employee Compensation Act, 1923
xiv. Employees State Insurance Act, 1948
xv. Employees Provident Fund and Misc. Provision Act, 1952
xvi. Payment of Gratuity Act, 1972
xvii. Indian Prevention of Corruption Act, 1988

15. LOCAL COMMUNITY DEVELOPMENT:

We understand that our operations not only affect our own communities but also of those who are in contact of our supply chains and our Suppliers, Vendors and Service Providers. Therefore, we encourage our Suppliers, Vendors and Service Providers to undertake steps to collaborate and associate with the local community for economic and social development by providing employment, helping in eradicating poverty, helping in developing skills of local people etc. wherever relevant.

16. GREEN INSPIRED:

Environmental concerns are no more issues of tomorrow, but are real challenges that need to be addressed today. We aim at making our value chain environment friendly and responsible. We are committed to comply with the requirements of local laws and regulations related to environment in the countries and regions in which it operates and from where it sources any material, product or services. We realize that the scope and nature of operations of our Suppliers, Vendors and Service Providers vary and hence emphasis on these principles may vary accordingly.

17. ECO-FRIENDLY PRODUCTS AND PROCESSES:

a. Carbon emission reduction:
We suggest that our Suppliers, Vendors and Service Providers identify sources of carbon emission and make progressive efforts towards reducing carbon emissions.

b. Efficient water usage:
We suggest our Suppliers, Vendors and Service Providers to take opportunities where reduction in water usage should be identified and measures for water conservation.

c. Efficient systems and process:
Suppliers, Vendors and Service Providers should strive towards enhancing the efficiency and performance of the equipment and processes by continual improvement, monitoring and assessment of technology. Good practices should be followed to ensure environmental resources are valued and protected.

d. Careful use of hazardous and toxic materials and substances:
We expect our Suppliers, Vendors and Service Providers to assess their use of hazardous and toxic material and take necessary steps to reduce it, as much as possible. Appropriate substitutes and replacements should be introduced to minimize exposure to such material.

e. Toxic waste management:

Toxic waste should be handled with professional guidance and mechanism should be put in place to dispose-off the waste to authorized waste processers by the Suppliers, Vendors and Service Providers. Toxic waste should not be allowed outside the premise without proper approval.

f. Clean energy:

We recommend our Suppliers, Vendors and Service Providers to use renewable sources of energy wherever possible so as to become more energy efficient and energy independent. The Suppliers, Vendors and Service Providers should take steps to identify the scope of replacing conventional sources of energy with sustainable and renewable sources in their operations

18. ADOPTING GREEN INITIATIVES AND PRACTICES:

In order to monitor the environmental performance and to become environment friendly, practices to monitor and minimize environmental impact should be imbibed in organization's processes. We recommend that our Suppliers, Vendors and Service Providers inculcate such practices in their operations and start new initiatives to reduce their impact on the environment.

19. QUALITY CENTERED:

Ensuring quality and adherence to manufacturing and product standard is of prime importance to us.

a. Quality Management System:
We expect our Suppliers, Vendors and Service Providers to establish quality objectives, policies, manual, procedures and have in place a certified Quality Management System by competent authority like ISO. The Suppliers, Vendors and Service Providers should comply with local regulations, registrations; have trainings, management reviews and internal audits to ensure that the Quality Management System is effective.

a. Facility and Machinery:
We expect our Suppliers, Vendors and Service Providers to give utmost importance to equipment design, installation, maintenance and ensure validation/verification of the same. The Suppliers, Vendors and Service Providers should have in place proper housekeeping and pest control to ensure hygiene, safety and security of its workforce.

b. Manufacturing Practices and Quality Controls:
We expect our Suppliers, Vendors and Service Providers to have in place established manufacturing and packaging operations with proper maintenance of records along with process controls and finish product release programmed.

c. Material Management:
We expect our Suppliers, Vendors and Service Providers to have in place established practices for storage, handling and transportation of raw material and to maximize the risk prevention measures through good warehousing practices and proper handling of rejected item.

20. IMPLEMENTATION

We understand that our Suppliers, Vendors and Service Providers fall under different categories in terms of their scale, the product/service they supply, and the raw materials being used by them, their organization structure and geographies of operation. Keeping these factors in mind, the Company has designed the policy in a manner that it works for the whole supplier base, although the level and type of compliance will vary depending on the type of the supplier and the principles applicable to them. All our Suppliers, Vendors and Service Providers shall be required to sign a declaration, confirming their willingness and implement internal systems to comply with our sustainable procurement policy. Additionally, this policy shall be shared with the supplier/vendor/service providers while issuing/releasing purchase orders.

We expect our Suppliers, Vendors and Service Providers/Suppliers to set in place internal policies, governance structures, systems, processes and take any other relevant measures to ensure adherence with this Policy. We shall work with our Suppliers, Vendors and Service Providers to identify issues that do not meet our expectations and help them in addressing the gaps identified, if any.

21. GFL SUPPLIER ASSESSMENT:

The Company shall follow a structured assessment process for evaluation of existing and for awarding contracts to new Suppliers, Vendors and Service Providers.

The Company have taken in account DQS services for supplier audit/ assessment through their digitalized tool- Supplier Audit Management Tool product. Any new supplier will have to fill this online questionnaire which shall be provided to them by GFL. They shall be assessed on the basis of social and sustainability accountability and shall be scored according to their response. Decision to continue or start business with the supplier shall be taken considering this score and other factors.

The following shall be kept in mind prior to engaging a Suppliers, Vendors and Service Providers:

a. Appropriate due diligence shall be conducted and properly documented;
b. Each Suppliers, Vendors and Service Providers, fully briefed of Company Policy of Sustainable Procurement and Code of Conduct and a formal commitment (in writing) shall be sought from the Suppliers, Vendors and Service Providers, to ensure compliance to these standards;

22. SUPPORT

a) Resources

The Company shall identify the resource requirements and provide timely resources in terms of qualified personnel, infrastructure, and automation system. The resource for the establishment, implementation, and maintenance of the Sustainable Procurement Management system as well as improving its effectiveness shall be provided. Adequacies of these resources shall be reviewed during Management Review, Internal Audit Results & Interested parties Complaint Review. The Sustainable Procurement Committee shall consider the capabilities and constraints on existing internal resources.

b) Competence

i. The Sustainable Procurement Committee shall identify the competency of employees performing activities affecting Sustainable Procurement based on performance review and shall provide necessary training and on the job training for the staff for upgrading the knowledge and achieve the necessary Competency. The skill matrix and competency matrix and training records shall be prepared as documented information. Also, during routine work due to the change in the area of work or any other reason the training needs shall be identified and provided.
ii. The Company shall ensure that the necessary competence has been achieved and appropriate records for the education, experience, training, and qualification are maintained as per our competency model.
iii. The new employee shall be trained properly in the identified area. The effectiveness of the training provided, and action taken shall be evaluated afterward. The competence and training shall also be evaluated and provided to the contract employees.

c) Awareness and Training

i. To ensure that all directors, officers, employees, consultants, and contractors of the Company are aware of the policy, a copy of the policy shall be provided to them and they shall be advised that the policy is available on the Company's website for their review. They shall also be informed whenever significant changes are made and a copy of this policy shall be provided to them and shall be educated about its importance.
ii. Training on this policy shall form a part of the induction process for all Suppliers, Vendors and Service Providers, business contacts, consultants, intermediaries, representatives, subcontractors, agents, advisers, joint ventures, and government & public bodies (including their advisers, representatives and officials, politicians and political parties). All the existing employees and Suppliers, Vendors and Service Providers shall receive relevant training on how to implement and adhere to this policy.

iii. At the time of joining, the organization shall provide Sustainable Procurement awareness training and shall conduct the training on regular basis as appropriate to their roles, the risks to which they are exposed, and any changing circumstances. The Company shall maintain the training calendar and training report as a part of its documented information.

d) Communication

The organization shall ensure internal and external communication between Functional Heads and various levels of employees regarding the processes of the Sustainable Procurement management system and their effectiveness. Such communication related to the system shall include:

i. What it will communicate.
ii. When to communicate.
iii. With whom to communicate.
iv. How to communicate.
v. Who communicates?
vi. the languages in which to communicate.

This policy shall be shared with the supplier/vendor and service providers while issuing/releasing purchase orders.

23. MONITORING, MEASUREMENT, ANALYSIS, EVALUATION & COMPLIANCE:

GFL reserves the right to verify compliance with this policy through internal and external assessment mechanisms, such as self-assessment questionnaires, announced and unannounced on-site independent Suppliers, Vendors and Service Providers, Vendors and Service Providers audits, and worker well-being surveys. Such audits may inspect Third parties/Suppliers, Vendors and Service Providers' facilities, operations, books and records, and supplier-provided housing, and may include confidential worker interviews. The Company has planned and implemented the monitoring, measurement, analysis, and improvement processes needed to evaluate the effectiveness and efficiency of the Sustainable Procurement management system. The Company shall retain the documented information like functional objective monitoring sheet, Management review, and internal audits as evidence. If non-compliances are observed, the supplier shall be required to take corrective actions.

If Suppliers, Vendors and Service Providers fail to implement the recommended corrective action plans, do not remedy any act of non-compliance in a timely manner, or there is breach of any term or condition of this privacy policy, whether intentional or unintentional, the company may, in its sole discretion and without any further obligation to Suppliers, Vendors and Service Providers, suspend purchases, refuse to take delivery under any purchase order and return any goods or services from the supplier until the corrective actions have been implemented, or may immediately terminate its business relationship/contract/employment with the Suppliers, Vendors and Service Providers/responsible employee in addition to any other rights or remedies available to the Company.

Declaration for Suppliers, Vendors and Service Providers

All the Suppliers, Vendors and Service Providers must comply with the policies, procedures and practices as described in the policy. To ensure that all the Suppliers, Vendors and Service Providers comply with the Policy, they shall have to give a declaration to this effect. All Suppliers, Vendors and Service Providers are expected to sign a declaration form **(Annexure I – Suppliers, Vendors and Service Providers Declaration)** to this effect.

25. Termination clause in case of Breach of this Policy

It is understood that in case of breach of the Policy and / or Code of Conduct may lead to immediate termination of the Contract. This clause shall override any specific termination clause which is mentioned in a specific contract for service. In such a case the Supplier, Vendors and Service Provider shall be summarily black listed and debarred form being engaged with the Company in future.

26. Internal audit

Audits shall be performed regularly and the interval between audits of any particular department shall not be greater than six months. Unscheduled audits may be carried out at the discretion of the management or Chief Procurement Officer based on the requirement. An Internal audit of Sustainable Procurement Management System shall be carried out at least once in 6 months to determine whether Sustainable Procurement Management System:

i. Shall conform to the planned arrangements for Sustainable Procurement Management System and standard requirements,
ii. Shall be implemented and maintained per the requirements our Sustainable Procurement Management System as given in this policy.

The Sustainable Procurement Committee shall be responsible for the planning and implementation of the audit. All the employees shall follow the Company's processes and adhere to the system of internal controls around supplier selection. Suppliers, Vendors and Service Providers, selection shall never be based on receipt of a gift, hospitality or payment.

The auditors, who are selected from within the company, shall however assist the responsible team. It shall be ensured that the auditors are independent of the specific activities or areas being audited by them and shall be provided for audit training. If the need arises, outside auditors can also be employed at the discretion of the Chief Commercial Officer. Internal Auditors shall be responsible to execute audit as per plan and verify the effectiveness of the implementation of Sustainable Procurement management policy.

The internal audit shall be scheduled in the Company based on the status and importance of the activity to be audited and the previous audit results. The Sustainable Procurement Committee prepares the audit plan covering the scope, schedule, and other details. The audit plan shall be prepared and circulated before 1 week of audit execution to ensure the availability of respective HODs and auditors. The audit shall be done by a third-party assessment system - DQS Certification Limited and shall be conducted to verify conformity to ISO20400 requirements.

Audit Report and Follow–Up

The Auditor shall prepare a non–conformity report on completion of the audit and the non–conformity shall be brought to the notice of auditee. Audit findings shall be documented and used as the main formal means of resolving problems and deficiencies detected in the Sustainable Procurement Management System.

The respective HOD shall close the non-conformity within a maximum of 45 days. The copies of such Non-Conformity reports (NCR) shall be given to the auditee and after taking timely corrective action on Non-Conformity reports, it shall be verified to close the Non-Conformity. After verification of actions taken; the audit findings shall be closed. During the next audit, the implementation and effectiveness of the corrective action taken on NCR's shall be reviewed and documented.

All the audit findings and verification of audit results shall be reported to the top management for the review and evaluation of the system and shall also be discussed in the management review meetings. The audit plan/schedule, audit nonconformity reports, and clause wise audit checklist shall be maintained as evidence of the implementation of the audit program and the audit result.

27. SUPPLIERS, VENDORS AND SERVICE PROVIDERS COMPLAINT HANDLING & FEEDBACK PROCEDURE

a. The Suppliers, Vendors and Service Providers shall voice their requirements and concerns, call our attention to problems, and find quick routes to support. The Company shall encourage openness and support anyone who raises genuine concerns in good faith under this Policy, even if they turn out to be mistaken. All Procurement team are expected to update the supplier feedback fairly so that Suppliers, Vendors and Service Provider queries can be resolved efficiently. The query raised by the Suppliers, Vendors and Service Providers shall be resolved by the Sustainable Procurement Committee.
b. The Procurement team/concerned department team members shall visit the customer to study and troubleshooting for onsite resolution of the complaint whenever required. The details of such visits to be documented.
c. Based on the corrective and preventive action report from procurement team, the team shall communicate to the third parties.
d. The Procurement team shall take/provide feedback from Suppliers, Vendors and Service Providers against the corrective actions/feedback of complaints.
e. The complaint shall be considered as closed if no negative feedback (verbal/written) is received concerning complaint within one month
f. Primary benefits by integrating Suppliers, Vendors and Service Providers feedback:
    i. add depth to your standard Suppliers, Vendors and Service Providers, Vendors and Service Providers records.
    ii. cut down on duplicate data.
    iii. ask the right questions throughout the Suppliers, Vendors and Service Providers lifecycle.
    iv. correct bad Suppliers, Vendors and Service Providers, Vendors and Service Providers experiences faster.
    v. spot new Suppliers, Vendors and Service Providers, Vendors and Service Providers trends.
    vi. create a culture of action.

g. Sharing feedback organization-wide reinforces the fact that every team has an impact on Suppliers, Vendors and Service Providers experience. When they're clued in on what Suppliers, Vendors and Service Providers are saying, they can make better decisions, personalize supplier interactions, and focus on initiatives that improve the experience. Building a database of Suppliers, Vendors and Service Providers feedback shall be one of the best possible ways to keep sight of our primary goal: making Suppliers, Vendors and Service Providers happy.
h. In case the Suppliers, Vendors and Service Providers have questions about whether a certain activity is permitted under the Suppliers, Vendors and Service Providers Guidelines, they shall raise it either to the Company employee with whom they are working with or to the Company's Sustainable Procurement Committee who shall be available to answer questions and address such concerns. The company shall not tolerate retaliation in any form against anyone for raising concerns or reporting what they genuinely believe to be improper, unethical or inappropriate behavior. All reports shall be treated confidentially.

27. MANAGEMENT REVIEW

Top Management Review

The Sustainable Procurement Management system shall be established and systematically reviewed for its continuing suitability and effectiveness in confirming the standard requirements in our Company. The review shall include implementation of this policy and objectives to identify any area, which requires improvement and evaluate the need for changes for the effective functioning of the system.

This review shall be carried out at least once in six months by Chief Commercial Officer by holding Management Review Meetings, which shall be attended by Sustainable Procurement Committee Team members, and all Functional Heads.

Management review inputs

The agenda, time, and date of management review meeting shall be circulated to all HODs and Sustainable Procurement Committee members to attend the management review meeting with supporting documents related to agenda points to discuss in the meeting. Inputs to management review shall include current performance and improvement opportunities related to the items listed as under:

a) The status of actions from previous management reviews.
b) Changes in external and internal issues relevant to the Sustainable Procurement Management System.
c) Information on the performance and effectiveness of the system;
d) Nonconformities and corrective actions; monitoring and measurement results; Audit results; Investigations; Nature and extent of the breach of competition law risks faced by the organization
e) Effectiveness of actions to address risks.
f) Opportunities for continual improvement of the Sustainable Procurement management system

Management review outputs

Based on the management review process, an action plan shall be prepared for the improvement and in case of changes required in the Sustainable Procurement Management System.

The action plan shall be documented as evidence as actions Planned in the management review meeting. It shall be the responsibility of the Chief Commercial Officer to prepare the minutes of the management review meeting covering details of the discussion held, action planned and the responsible person to complete the planned actions. The Chief Commercial Officer shall report the summary of the results to the top management for review.

28. IMPROVEMENT ACTIONS:

Nonconformity and corrective action

The company shall establish the system for identification, documentation, evaluation, segregation and disposition of non–conformity including audit results and customer complaints. The concerned persons shall be informed for disposal of non–conformity. If a non–conformity is identified, then the Company shall take an appropriate action regarding the consequences of the non–conformity. The details of non–conformity and concession accepted by the Chief Commercial Officer, end user or other body as applicable shall be reported and retain documented information. The Documented information of the nature of non–conformities and any subsequent actions taken, including concessions obtained shall be maintained.

The corrective action planning shall include the evaluation of the significance of problems affecting Sustainable Procurement system. The major or repetitive non–conformities shall be identified for taking corrective action in the areas as defined below:

a. The Functional Head shall review the non–conformities (including Suppliers, Vendors and Service Providers, complaints) as identified in their areas and analyse it.
b. The root cause of non–conformities shall be identified.
c. Considering the evaluation and aspects like costs of non–conformance, vs. action taken, random failure, customer satisfaction etc. need for action shall be evaluated to ensure that non–conformities do not recur. For non–conformities or random failure shall be reported and recorded.
d. After analysis of the non–conformities or deficiencies for major or repetitive problems the need for corrective action shall be taken.

e. Based on root cause analysis, corrective action to be taken shall be determined. Necessary corrective action shall be implemented.
f. The results of action taken shall be recorded and compared for results in non–conformity v/s results after action taken. If it is found not satisfactory, then the whole process shall be repeated.

After completion of corrective action, the report shall be forwarded to Sustainable Procurement Committee for review of the corrective action taken. The effectiveness of the corrective action shall be reviewed to check the adequacy of such measures. The summary of effectiveness of corrective action shall be discussed and reviewed in management review meeting. The Chief Commercial Officer /HOD shall maintain documented information on nonconformity identified and the subsequent action taken. The respective Chief Commercial Officer /HOD shall take corrective action and maintain records including result of the action taken.

Continual improvement

The process shall be laid down for the follow up of process for continual improvement of the Sustainable Procurement Management System. The Sustainable Procurement Committee shall take the necessary action for continuous improvement in the suitability, adequacy, and effectiveness of the Sustainable Procurement management system.

The continual improvement of Sustainable Procurement management system shall be facilitated through the use of this policy, objectives, and audit results, analysis of data, corrective action and output of management review to determine need or opportunities which shall be identified as a part of continual improvement.

29. POWER TO AMEND

a) Any amendment in this policy shall be approved by the CEO (Chief Executive officer) & COO (Chief Operating Officer)
b) With the adoption of this Policy all other Policies and guidelines related to Sustainable Procurement and Code of Conduct for Vendors, Suppliers and Service Providers stand null and void.
c) The management shall have the overriding right to withdraw and/or amend the guideline at its discretion as it deems fit from time to time. The decision of the management shall be final and binding.

Satish Kakade
Chief Executive Officer

Prashant Ogale
Chief Operating Officer

Date – 31st March, 2020

GUJARAT FLUOROCHEMICALS LIMITED

Annexure I

Declaration by the Suppliers, Vendors and Service Providers, Vendors and Service Providers

(On Company Letter Head and Company Seal)

To,
The Chief Commercial Officer

DECLARATION: SUSTAINABLE PROCUREMENT POLICY CODE OF CONDUCT DECLARATION

I, Mr./Ms..... on behalf of .....confirm that I have gone through the Guideline on Sustainable Procurement & Code of Conduct of Gujarat Fluorochemicals Limited and having understood the same I declare that our Company will not engage in any activity, practice or conduct which are in contravention of the clauses of the Guidelines.

In case of any violation or intended violation by any party, I will report immediately the same to you.

_____
Signature

_____
Designation of Signatory with Company Seal

Date: